any other factor that may affect the company's performance. His argument was that one could never lose if one has this information. If the company is likely to do badly, one can sell and then buy shares to cover this when the price falls, and *vice versa*. This is the philosophy of professional and successful investors — informed investing. And this is the foremost tenet of fundamental analysis. As Adam Smith says, "There is no substitute for information. The market is not a roulette wheel. Good research and good ideas are the one absolute necessity in the market place."

Fundamental analysis demands, nay insists, on solid information about a company. It requires subjecting a company's performance and its financial statements to the most piercing scrutiny as well as the analysis of the economy and the industry in which the company operates. The fundamentalist then makes his buy or sell decision on the basis of his interpretation of the information that he receives, his analysis, and on the strength of his experience and investment maturity.

All information is important and can be grouped under the following classifications:

1. Information about the economy.
2. Information about government policy; taxation, levies, duties and others.
3. Information about the industry in which the company operates.
4. Information about the company — its management, its performance, its sales and its products including its performance in relation to other similar companies.
5. Information about consumer outlook, fashions and spending.

In India, we are fortunate that there is greater awareness of the need for information today than ever before and this need is being addressed by the media, researchers and professional investment consultants.